

Ads Performance & Pricing Strategy

-By Aniket R Patil

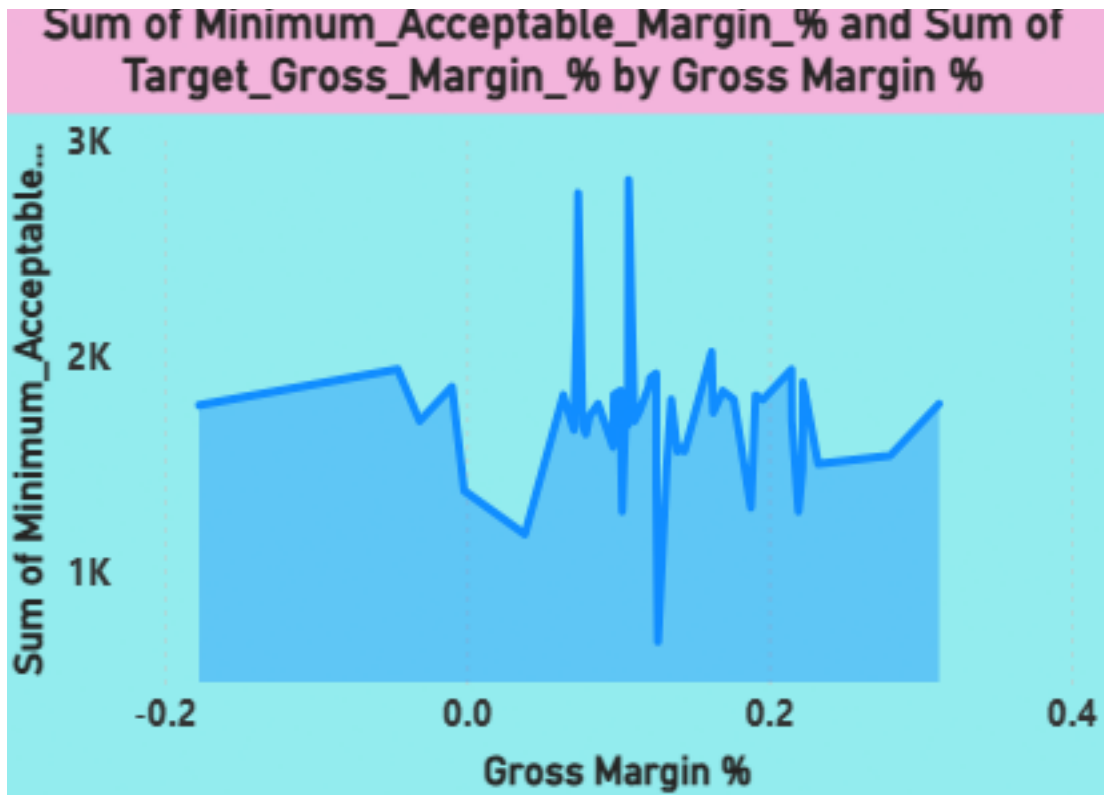
Summary

1. Pricing Strategy Explanation

The pricing strategy for this project is designed to balance profitability, competitiveness, and demand sustainability by leveraging real-time sales, traffic, cost, and inventory data. Instead of using a static or cost-plus pricing approach, the strategy is data-driven and performance-oriented, focusing on how price influences conversion rates, margins, and inventory turnover.

Key pricing considerations include:

- Cost structure analysis, incorporating product cost, FBA fees, storage fees, and handling costs to determine the true landed cost.
- Margin thresholds, defined by **Minimum Acceptable Margin (%)** and **Target Gross Margin (%)**, to ensure pricing decisions meet business profitability goals.



- Demand sensitivity, assessed through conversion rate trends and demand velocity (units shipped over multiple time windows).
- Inventory position, where pricing is adjusted to accelerate sales for ageing or excess inventory while protecting margins on fast-moving SKUs.

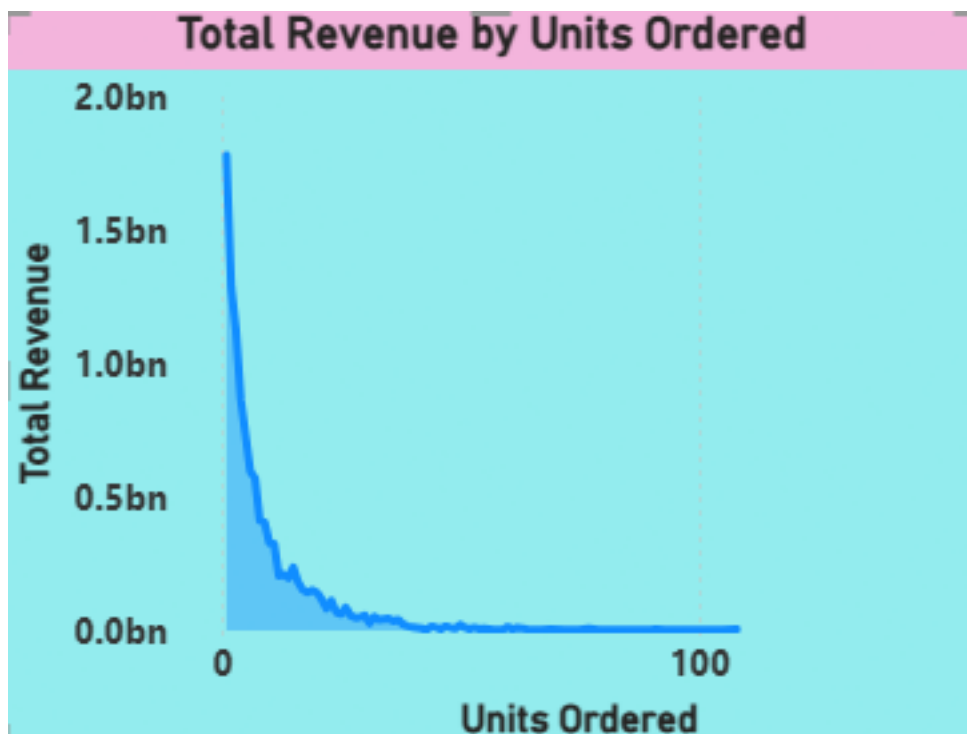
This approach allows pricing to act as a strategic lever—not just to increase revenue, but to optimise profit and inventory efficiency.

2. Detailed Summary of Data Analysis Performed

The analysis was conducted using a **custom-built Power BI interactive dashboard** that processes CSV data. The following analytical dimensions were evaluated:

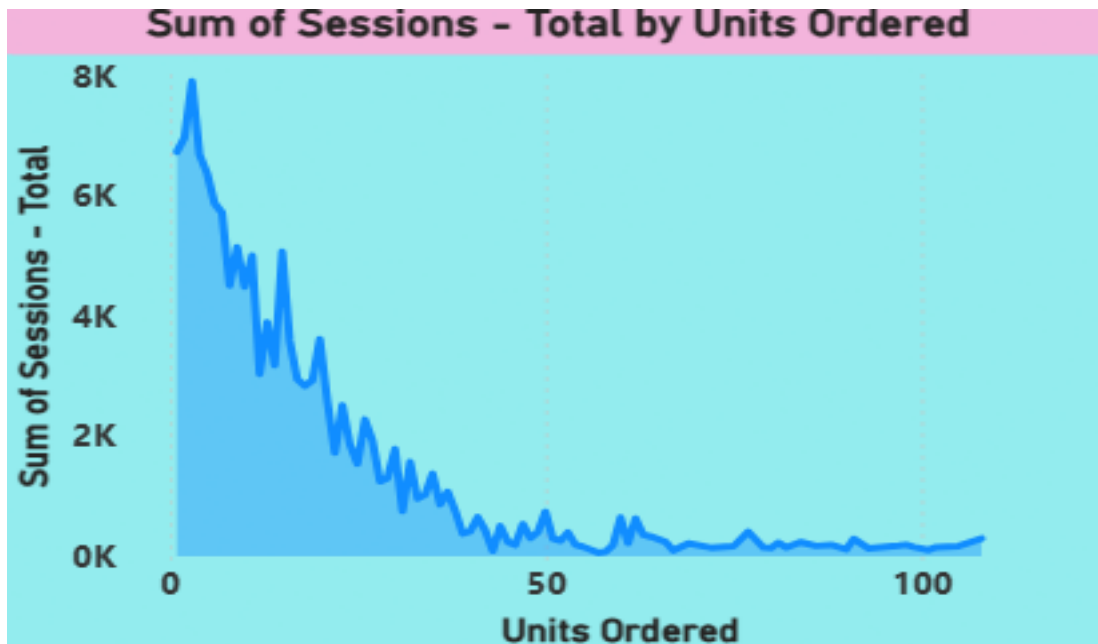
a. Sales & Revenue Analysis

- Tracked **Ordered Product Sales** over time to identify growth trends, seasonality, and performance fluctuations.
- Compared **Total Revenue** against **Units Ordered** to understand average selling price behaviour.



b. Traffic & Conversion Analysis

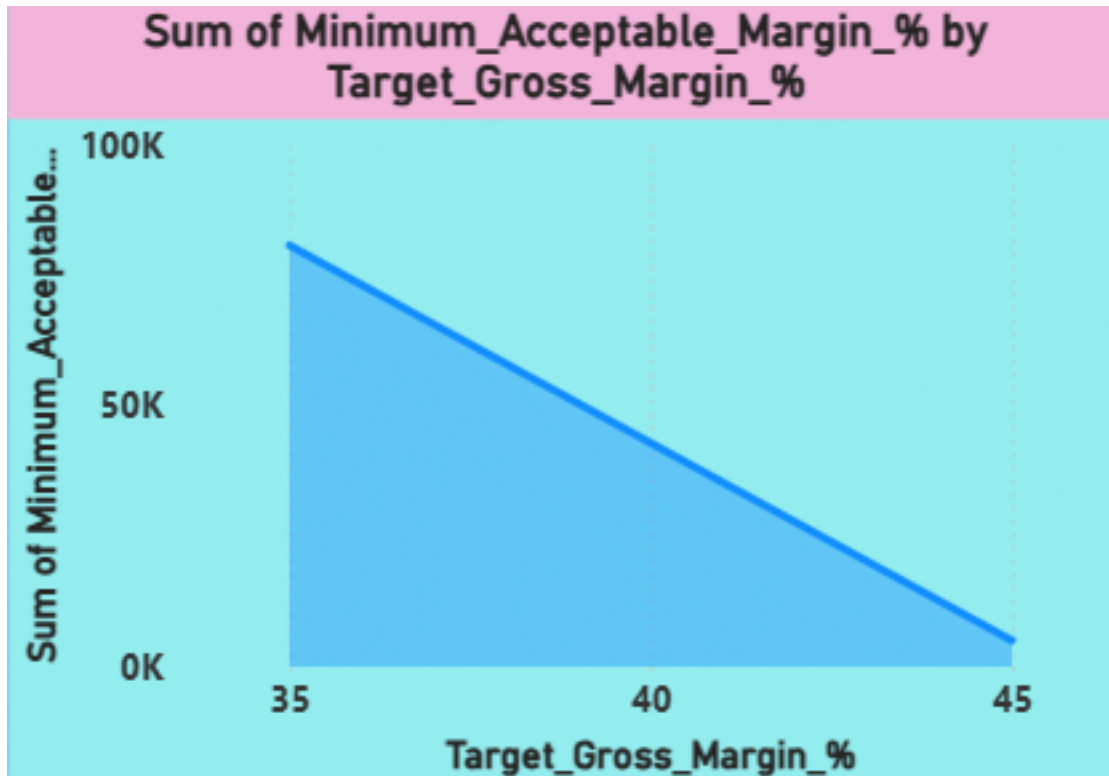
- Analyzed **Sessions vs. Units Ordered** to calculate conversion rates.



- Identified SKUs with high traffic but low conversion, indicating potential pricing or listing optimisation issues.

c. Profitability & Margin Analysis

- Calculated **Gross Margin (%) per SKU** using actual cost components:
 - Product cost
 - FBA fees
 - Storage fees
 - Handling costs
- Benchmarked margins against **minimum acceptable** and **target margin thresholds**.



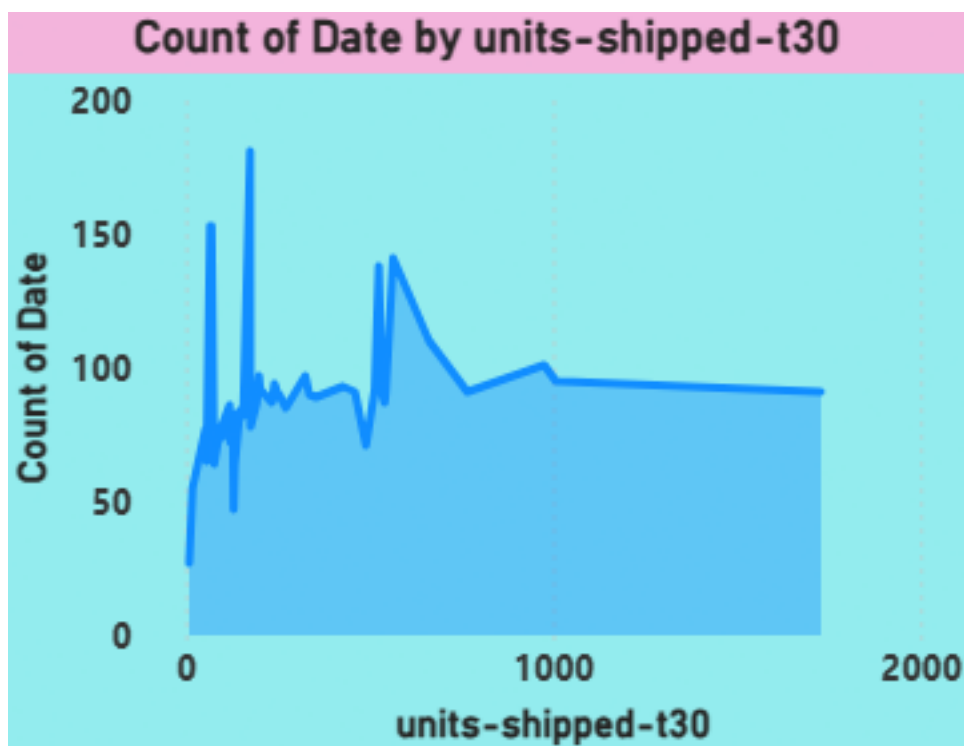
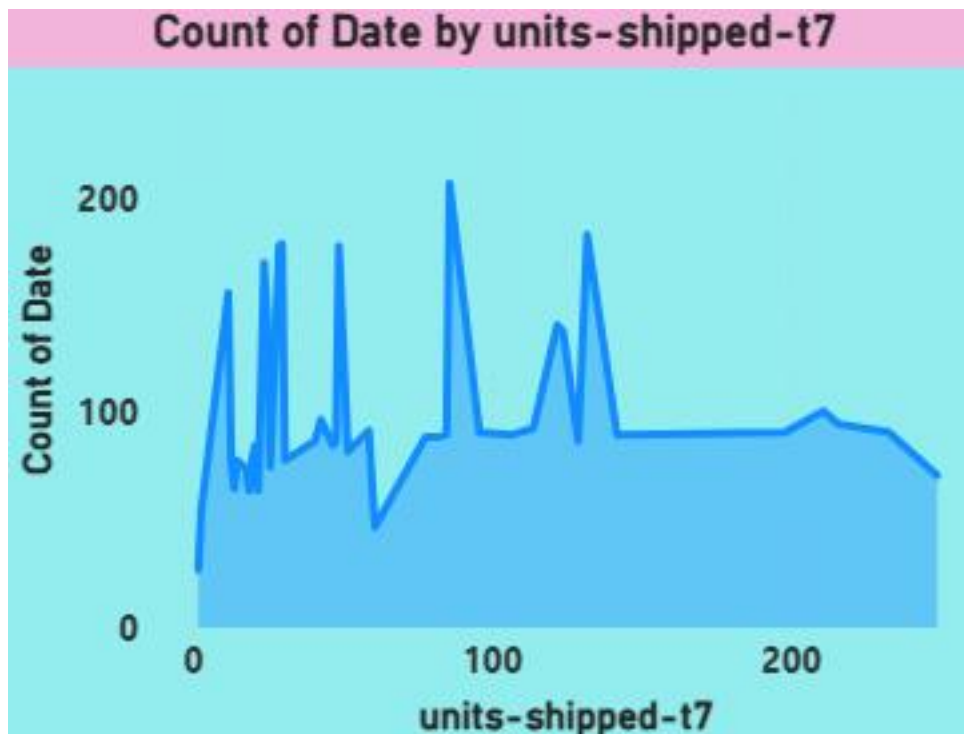
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- Flagged SKUs that generate revenue but negatively impact overall profitability.

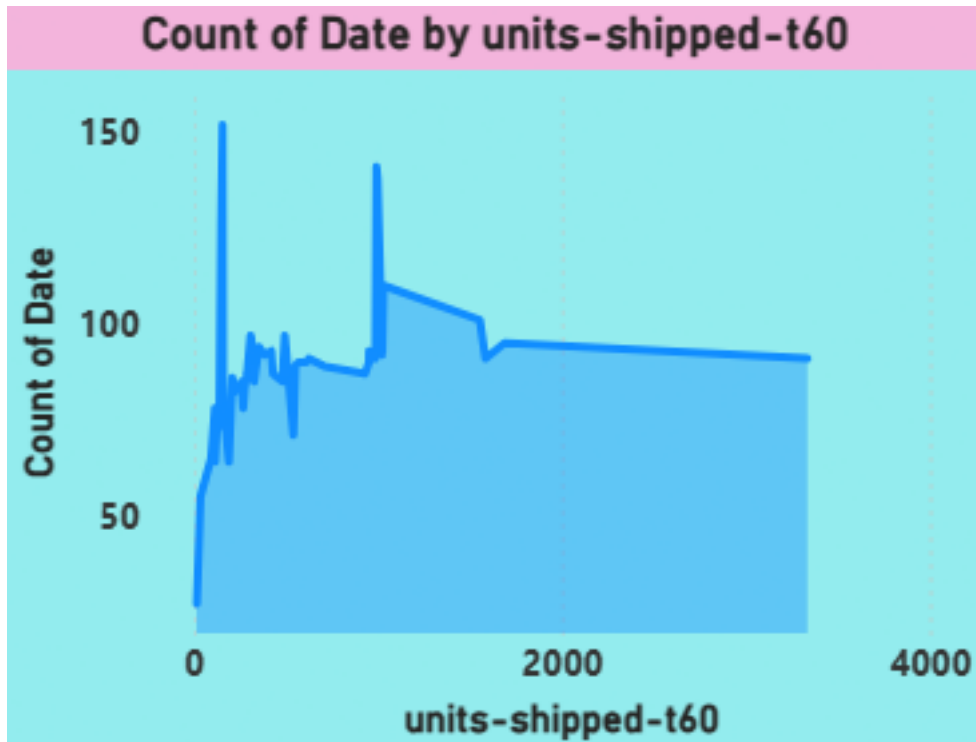
d. Inventory & Aging Analysis

- Evaluated inventory distribution across ageing buckets (0–30 days to 365+ days).
- Identified slow-moving and long-aged stock contributing to higher storage costs.
- Assessed inventory risk using **Days of Supply** and **Weeks of Cover** metrics.

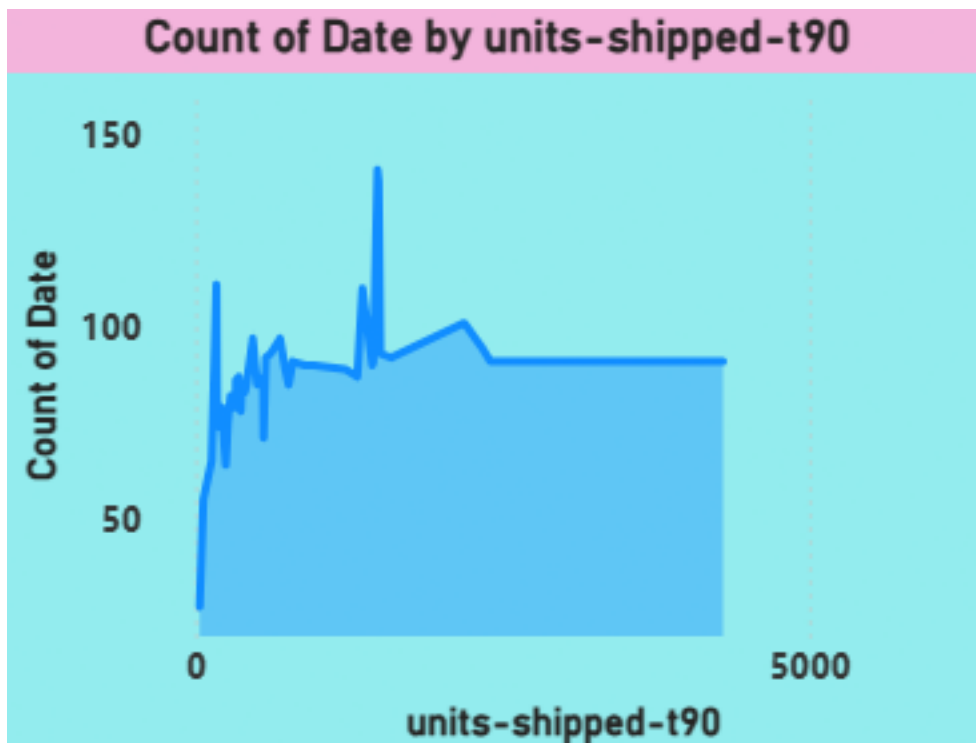
e. Demand Velocity & Fulfilment Analysis

- Analyzed **units shipped** across **7, 30, 60, and 90-day** windows to understand demand stability.





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- Detected fast-moving SKUs at risk of stockouts and slow-moving SKUs at risk of overstocking.

This multi-dimensional analysis ensures pricing decisions are informed by **sales and ads performance, cost efficiency, and operational constraints**.

3. Final Pricing Recommendation & Key Insights

Pricing Recommendations

1. Increase prices for high-conversion, high-demand SKUs

- SKUs with strong conversion rates and low inventory risk can sustain moderate price increases without impacting demand.
- This improves overall gross margin while maintaining sales velocity.

2. Reduce prices strategically for ageing or overstocked inventory

- Price reductions or promotions are recommended for SKUs with **high inventory age (181+ days)** to reduce storage fees and free working capital.

3. Reprice or cost-optimize low-margin SKUs

- SKUs consistently below the minimum acceptable margin should be:
 - Repriced upward, or
 - Re-evaluated for cost reduction or discontinuation.

4. Maintain stable pricing for balanced SKUs

- SKUs meeting target margins with healthy conversion and inventory levels should maintain current pricing to ensure consistency and predictability.

Key Business Insights

- Revenue growth without margin control can reduce profitability, making margin monitoring essential.
- Conversion rate is susceptible to pricing, especially for competitive SKUs.
- Inventory ageing is a hidden cost driver, often more impactful than direct pricing errors.
- Demand velocity is the most reliable indicator for safe price increases.
- A dynamic, data-backed pricing strategy leads to better long-term profitability and inventory health than static pricing models.

Conclusion

By integrating pricing strategy with sales, conversion, and inventory analytics, this project demonstrates how data-driven pricing decisions can enhance profitability, mitigate operational risk, and foster sustainable business growth. The interactive dashboard serves as both a decision-support tool and a pricing control mechanism, enabling continuous optimization as market conditions change.

Links to Working Files and Code Repository

This section provides access details for all working files, datasets, and code artifacts used to design, analyze, and implement the pricing strategy and interactive sales performance dashboard for this assignment.

<https://github.com/AniketPatil84/Ads-Performance-Pricing-Strategy.git>